# WARRANTY ATLAS · Arkansas (AR)

Law last amended: 2023 (eff. 2023-08-01) · Next scheduled change: none found · Last verified: 2026-10-06 · Built 2026-10-19

Cites: Ark. Code Ann. § 23-112-313; Ark. Code Ann. § 23-112-310(d) (rate floor, rate-change requests, claim payment); Ark. Code Ann. §§ 23-112-105, 23-112-308, 23-112-309 (remedies/sanctions)

## Labor reimbursement by coverage type

| Coverage | Status | Paid hours | Pinpoint / date note |
|---|---|---|---|
| **Factory warranty** | **Required** | Factory time (reasonable/adequate standard where stated) | § 23-112-313(c)(1) |
| **Mfr-backed service contract** | **Not addressed** | - | § 23-112-313(a) |
| **CPO warranty** | **Not addressed** | - | § 23-112-313(a) |
| **Independent service contract** | **Not addressed** | - | § 23-112-313(a) |

Hourly rate: Not less than the dealer's retail labor rate per hour, provided it is reasonable vs same line-make dealers in the relevant/competitive market area. Rate = total labor sales ÷ labor hours from qualified customer-pay ROs (excluding routine maintenance), from the lesser of 100 sequential ROs (≤180 days old) or a 90-day look-back. Change requests are deemed approved if not acted on within 45 days.

## Audit fields

| Field | Rule | Pinpoint |
|---|---|---|
| **Claim decision** | 30 days; late claim deemed approved: Yes. Written notice within the 30-day period stating the specific grounds. A claim may not be disapproved for a clerical error that does not make the claim amount incorrect, including errors from the manufacturer's prior-approval process. The dealer may contest a… | § 23-112-313(e)(2)(B); see (e)(1)-(3) and § 23-112-310(d)(2… |
| **Payment** | 30 days after approval. Dealer filing deadline: Silent. The dealer may correct and resubmit a disapproved claim within 30 days of receiving the disapproval. | |
| **Chargebacks** | 12 months; fraud: A fraudulent claim may be charged back within 2 years of the claim da…. Audits must occur within 1 year from payment or credit. Only false or unsubstantiated claims may be charged back. The dealer may appeal a chargeback to the Motor Vehicle Commission within 90 days of notice. The chargeback cannot be levied until the appeal is… | § 23-112-313(e)(4)(A)(ii)-(iii); see (e)(4)(C)-(D) |
| **Rate resubmission** | Silent. Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old. Excluded: Routine maintenance, Tires, Other (see text). | § 23-112-313(c)(4); see (c)(6), (f) |
| **Mfr response** | 45 days; no response = approved: Yes. Challenge: The retail-rate floor applies only 'provided the rate is reasonable compared to other same line-make dealers in the dealer's relevant market area or the dealer's competitive market area' (§ 310(d)(1)(A)). § 313(c)(3) adds 'provided the rate is reasonable'. Forum: Not specified for rate disputes. Commission hearings (§ 23-112-501 et…. | § 23-112-310(d)(1)(D)(ii); see (d)(1)(A), (D)(i), (D)(iii) |
| **Penalties** | A licensee suffering pecuniary loss from another licensee's willful failure to comply may recover reasonable damages and attorney's fees (§ 23-112-105(a)). A dealer that prevails against a manufacturer also has an action for attorney's fees (§ 23-112-105(b)). The Commission may deny, suspend or revoke a license if a manufacturer 'faile… | Ark. Code Ann. §§ 23-112-105, 23-112-308, 23-112-309 |
| **Audit procedures** | Audit climate score 34/100 (Elevated restrictiveness; chargeback limits 34/75 + process and oversight 0/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: yes; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure. | |

## Statute quotes

***Claims*** *(§ 23-112-313(e)(2)(B); see (e)(1)-(3) and § 23-112-310(d)(2…): "Any claims not specifically disapproved in writing within thirty (30) days from their submission shall be deemed approved, and payment shall follow within thirty (30) days."*

***Chargebacks*** *(§ 23-112-313(e)(4)(A)(ii)-(iii); see (e)(4)(C)-(D)): "Audit the claims within a one-year period from the date the claim was paid or credit issued by the manufacturer or franchiser; and (iii) Charge back any false or unsubstantiated claims."*

***Rate*** *(§ 23-112-313(c)(4); see (c)(6), (f)): "The motor vehicle dealer shall calculate the labor rate by dividing the amount of the motor vehicle dealer's total labor sales from any qualified repair orders by the total labor hours that generated the labor charges"*

***Factory time*** *(§ 23-112-313(c)(1)): "Time allowances for the diagnosis and performance of warranty or recall campaign work and service shall be reasonable and adequate for the work to be performed."*

## Notes

Current text comes from Justia's 2025 code (mirror). Every quote was matched to an official enrolled act or edition: Act 756/2009 § 12 (rewrote § 313(e)), Act 1077/2021 §§ 4, 6 (§ 310(d)(1), § 313(c)), Act 515/2023, and the 2011 Official Edition PDF on labor.arkansas.gov (§§ 23-112-105, -308, -310(d)(2)). § 313(e)(1) literally reads claims 'shall be either approved or disapproved within thirty (30) days following their approval or disapproval', a drafting glitch; the operative clocks are (e)(2)(B) and § 310(d)(2). § 23-112-308 was amended by Act 816 of 2025 (eff. 8/5/2025) only in (a)(25) (temporary tags, dealer extra plates); the warranty ground in (a)(18) is unchanged. Motorcycles/ATVs have a separate floor (§ 310(d)(1)(C)). Motor-home/RV warrantor rules are in subchapter 10 (e.g., § 23-112-1016). No frequency limit on rate requests was found.

Source: enrolled_act · https://arkleg.state.ar.us/Acts/FTPDocument?path=%2FACTS%2F2021R%2FPublic%2F&file=1077.pdf&ddBienniumSession=2021%2F202… · Confidence: medium. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.